Accounts Payable Control Memorandum

Version: 5.1

Issued by: Finance Controller (synthetic policy written for AuditIQ-Bench)

Purpose

This memorandum tells the accounts payable team which supplier bills must be reported to Internal Audit before they are paid. It replaces all earlier circulars on the subject.

Matching the bill to the order and the delivery

A supplier's bill is paid only when it agrees with what we ordered and what we received. The billed amount should be the same as the amount on the purchase order; we accept a gap of no more than 1% of the order value, above or below, and anything wider is reported. The number of units billed may never be greater than the number of units the stores took in. A bill that does not quote a purchase order and a goods receipt note, or quotes one we cannot find, is reported. Stores staff write remarks on the goods receipt note; when a remark says that part of a delivery was rejected, damaged, sent back or never arrived, only the remaining units count as accepted, and a bill for more than that is reported even if the quantity box on the note says otherwise. What the bill describes has to be what the order asked for; a different product or service is reported, while different wording for the same thing is not.

Bills submitted twice

If a supplier's bill carries a bill number that the same supplier has already used, the later bill is a duplicate and is reported. The same holds when a later bill charges the same order and delivery for the same amount under a number that has merely been re-typed, for instance with other separators, dropped zeros, an added letter or swapped digits. Bills with consecutive numbers for separate orders are not duplicates.

Tax registration

The GSTIN printed on a bill must consist of exactly 15 letters and digits. Its first two digits are the state code, which must lie between 01 and 37. A properly formed GSTIN must also be the very number we hold for that supplier in the vendor master.

Supplier conduct

No supplier may present more than 3 bills bearing the same date; if that happens, every bill of that date is reported. We also watch for purchases cut into pieces: bills from one supplier for the same goods, dated on different days inside roughly 7 days, each falling within 15% under the approver's ceiling and together above it, are treated as one purchase and all of them are reported. We do not work on Saturdays and Sundays; a bill dated on one of those days is reported. A bill whose amount is an exact multiple of INR 10,000 is reported as a round-sum bill. Bills from a supplier on our blacklist, or whose GST registration is shown as Suspended, are reported and not paid.

Who may approve what

Each approver may sign off bills up to a ceiling: a Manager up to INR 100,000, a Senior Manager up to INR 500,000, a Director up to INR 2,500,000 and the CFO up to INR 10,000,000. A bill approved by someone whose ceiling is below the bill amount is reported.